

ENGLISH **LIVE**

36

COMPREHENSION & VOCABULARY

UPSC / BANK PO / SSC / OTHERS

SESSION - 36

17th MARCH, 2017

LIVE
BusinessLine

THURSDAY, MARCH 16, 2017

Slow flow

Favourable global and domestic factors have helped foreign portfolio flows until recently, but the road ahead is rocky

It is ironic that India's stock, bond and currency markets should remain so resilient to the US Federal Reserve's rate hikes in the last few months, after throwing a 'taper tantrum' at the very idea a couple of years ago. Since mid-December, when the Fed resumed its tightening, the S&P 500 Sensex is up 11 per cent, the yield on the benchmark 10-year gilt is up a mild 30 basis points, and the rupee has actually strengthened from 67.4 to 65.8 to a dollar. In fact, the rupee broke through its long-held barrier of 66 to a dollar on the eve of this Wednesday's FOMC meeting. All this despite foreign portfolio investors (FPI) developing markedly cold feet about India in the last six months. FPIs have pulled out a net \$6.09 billion from Indian bonds and \$1.74 billion from stocks since October 2016. FPI promises to be the worst year on record for foreign investments in bonds.

A fortuitous combination of global and local tailwinds has helped shield domestic markets from a sharp correction in recent months. Domestic mutual funds have seen sustained inflows, allowing them to buy stocks when FPIs sold. Banks and insurers, flush with one-off inflows during demonetisation, have aggressively bought government securities and bonds, preventing bond prices from collapsing due to FPI sales. The rupee on its part has been supported by India's unusually strong balance of payments position, with moderate oil prices and low gold imports pushing the current account deficit (CAD) to less than 1 per cent of GDP in FY17. Global weakness has prompted a record foreign direct investment (FDI) surge into India in search of higher growth. But going forward, at least some of these tailwinds are likely to evaporate. One-off flows into equity and bond markets from demonetisation will normalise as cash supply improves; gold demand may revive. Oil prices may have come off their highs in recent days, but they could bounce back, and with the outlook for Indian exports turning gloomy, analysts are expecting the CAD to spike by 50 per cent in FY18.

More importantly, the anomalous situation of zero to negative interest rates in many developed economies due to the easy money policies of the past is already reversing. This spells trouble for portfolio flows into India. With the US economy strengthening and the Fed looking to hike rates through 2017, the temptation will be strong for foreign investors to re-allocate money from volatile emerging markets back to the US. The shrinking interest rate differential between India and the US will also do away with the easy arbitrage returns they earned through carry trades. Record pullouts from Indian bonds in the last few months are a stark reminder that this rate differential matters as much, if not more, to portfolio investors, as the 'India story'. While there is little that can be done about this, the Centre must redouble its efforts to keep FDI flows coming; this will hold the key to market and rupee stability in the year ahead.



DISCUSSION ON 17th March (Today)



DISCUSSION ON 20th March (Monday)

Return to normal

By pointing to gradual rate increases, the Fed reassures markets and policymakers

The U.S. Federal Reserve has resumed normal monetary service by raising interest rates for the second time in three months. The Fed's decision on Wednesday reflects its confidence in the continuing expansion and signals that its efforts to reflate the world's largest economy are largely on track – with overall inflation seen to be stabilising around its longer-run target of 2% over the next couple of years. Significantly, Chair Janet Yellen stressed that policymakers expect the strengthening economy would warrant "gradual increases" in the benchmark federal funds rate to ensure that the monetary policy stance remains accommodative of growth, even as price stability is ensured. This emphasis on 'gradual' provides a degree of policy predictability that markets, for now, can broadly factor in two more rate increases of one quarter of a percentage point each for the rest of 2017 – especially when coupled with a median projection for the signalling rate to reach 1.4% at the end of the year, from the current 0.75%-1.0% range. The statement has allayed fears of an accelerated rate normalisation, that could have triggered a sharp jump in outflows from emerging markets such as India. Investors worldwide are bound to feel more reassured that one of the world's key economic engines is in good shape and that should bode well for global demand. India's exporters, including of software services, are also likely to see a silver lining in the Fed chief's reference to a distinct firming in business investment, after having been soft in 2016, that has helped put business sentiment at "favourable levels".

Ms. Yellen also flagged caveats to the Fed's projections. Averring that policy is "not on a pre-set course", she pointed to the potential impact that changes in fiscal policy, among other factors, could have on the economic outlook. While acknowledging that it is still too early to anticipate exactly how the Trump administration's fiscal policies may unfold, the central bank is intimating that it will be closely monitoring the new dispensation's broad budget plans and remains ready to change policy tack if it were to perceive any risks to its price stability goals. There is also the matter of when the Fed may decide to initiate the process of normalising its balance sheet. Given that the central bank's holdings of Treasury bonds and mortgage-backed securities reached record levels in the aftermath of the 2008 financial crisis, any plan to begin unwinding these holdings will need to be very carefully calibrated and communicated in advance to ensure that global markets don't witness a repeat of the 'taper tantrum' of 2013. Ms. Yellen stressed just that when she said the Fed "as a matter of prudent planning" had discussed issues related to an eventual change to its reinvestment policy and, while no decisions were taken, would ensure that the process be "gradual and predictable".

THE HINDU
BusinessLine
16th March, 2017
THE HINDU
 INDIA'S NATIONAL NEWSPAPER SINCE 1828

17th March, 2017

LIVE
BusinessLine
THURSDAY, MARCH 16, 2017

Slow flow

Favourable global and domestic factors have helped foreign portfolio flows until recently, but the road ahead is rocky

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More importantly, the anomalous situation of zero to negative interest rates in many developed economies due to the easy money policies of the past is already reversing. This spells trouble for portfolio flows into India. With the US economy strengthening and the Fed looking to hike rates through 2017, the temptation will be strong for foreign investors to re-allocate money from volatile emerging markets back to the US. The shrinking interest rate differential between India and the US will also do away with the easy arbitrage returns they earned through carry trades. Record pullouts from Indian bonds in the last few months are a stark reminder that this rate differential matters as much, if not more, to portfolio investors, as the 'India story'. While there is little that can be done about this, the Centre must redouble its efforts to keep FDI flows coming; this will hold the key to market and rupee stability in the year ahead.

Slow flow

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16th March, 2017

Slow flow

- Favourable global and domestic factors have helped foreign portfolio flows until recently, but the road ahead is **rocky**
- It is **ironical** that India's stock, bond and currency markets should remain so resilient to the US Federal Reserve's rate hikes in the last few months, after throwing a '**taper tantrum**' at the very idea a couple of years ago. Since mid-December, when the Fed resumed its tightening, the S&P BSE Sensex is up 11 per cent, the yield on the benchmark 10-year gilt is up a mild 30 basis points, and the rupee has actually strengthened from 67.4 to 65.8 to a dollar.
- In fact, the rupee broke through its long-held barrier of 66 to a dollar on the eve of this Wednesday's **FOMC meeting**. All this **despite** foreign portfolio investors (FPI) developing markedly **cold feet** about India in the last six months. FPIs have pulled out a net \$6.09 billion from Indian bonds and \$1.74 billion from stocks since October 2016. FY17 promises to be the worst year on record for foreign investments in bonds.
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- More importantly, the **anomalous** situation of zero to negative interest rates in many developed economies due to the easy money policies of the past is already reversing. This spells trouble for portfolio flows into India. With the US economy strengthening and the Fed looking to hike rates through 2017, the temptation will be strong for foreign investors to re-allocate money from **volatile** emerging markets back to the US.
- The shrinking interest rate differential between India and the US will also do away with the easy **arbitrage** returns they earned through **carry trades**. Record pullouts from Indian bonds in the last few months are a **stark** reminder that this rate differential matters as much, if not more, to portfolio investors, as the 'India story'. While there is little that can be done about this, the Centre must redouble its efforts to keep FDI flows coming; this will hold the key to market and rupee stability in the year ahead.

Slow flow

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16th March 2017



LEARNING SPACE

Favourable global and domestic factors have helped
foreign portfolio flows until recently, but the road ahead

is **rocky**



LEARNING SPACE

...Transforming Human Lives

FOREIGN PORTFOLIO INVESTMENTS (FPIs)



USA



Capital flows



- Hot money
- Passive investment
- Highly volatile / not stable
- Investments in financial assets
- Can come and go at any time
- Asset bubbles / asset crashes
- Currency appreciation / depreciation
- Developing countries are affected

FOREIGN PORTFOLIO INVESTMENTS (FPIs)

EXCESSIVE CAPITAL FLOWS



USA



EU



Capital flows

1 Asset bubbles

2 Appreciation in currencies

1



2



FOREIGN PORTFOLIO INVESTMENTS (FPIs)

CAPITAL FLIGHT



USA



EU



Capital flight

1



1

Asset crashes

2

Depreciation in currencies

2



FOREIGN DIRECT INVESTMENTS (FDIs)



Mercedes-Benz



Japan

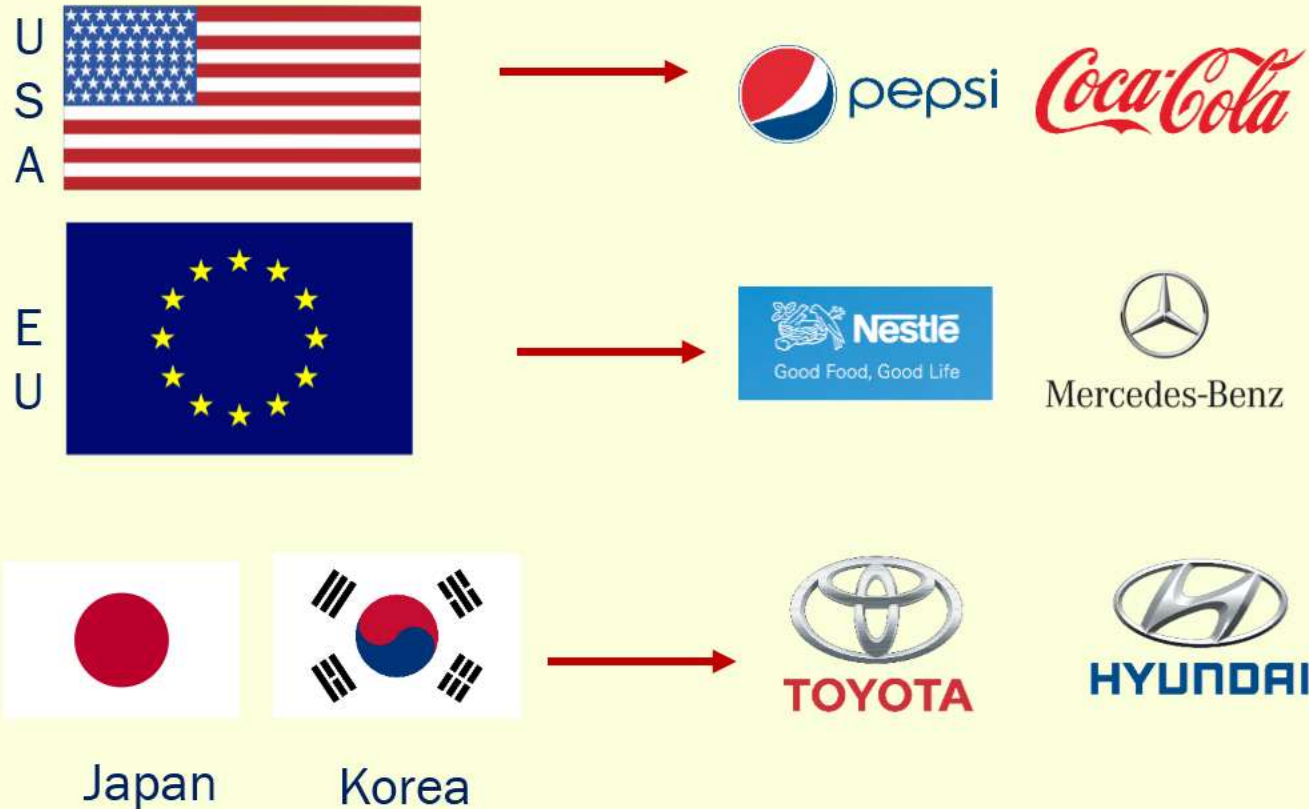


Korea



HYUNDAI

FOREIGN DIRECT INVESTMENTS (FDIs)



- Stable, long term
- Stays on for longer time, not easy to exit
- Interest to establish enterprise
- Creates jobs
- Comes with modern technology
- Aids in GDP
- Invests in physical assets
- Countries with stable policy and conducive environment attracts FDI

Rocky

*The road ahead for
several economies of the
European Union is going
to be **rocky**.*



Spain



Portugal



Greece

Rocky

Difficult and with full of problems

Slow flow

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Irony

*She got through IIT JEE examination, but the **irony** is she failed in plus two examination.*



Irony

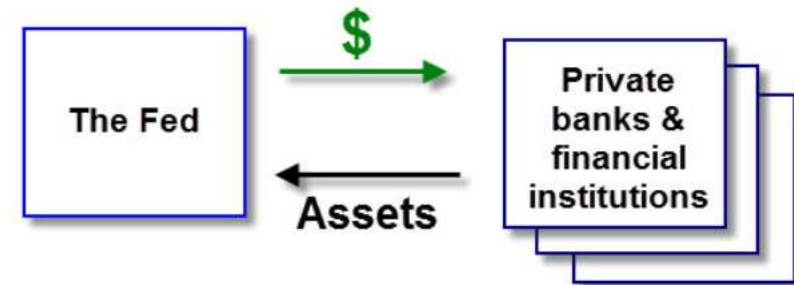
A situation in which something which was intended to have a particular result has the opposite or a very different result

Taper Tantrum

- Panic after hearing the news of tapering of quantitative easing is taper tantrum
- It resulted from the USA Central Bank's decision in 2013 to gradually reduce Quantitative Easing.
- Quantitative Easing is the amount of money that was put into the system, which gives everyone extra money.



Quantitative Easing



Slow flow

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FOMC Meeting

- FOMC is the committee, which conducts scheduled meetings.
- To look at the monetary policy.
- It sits 8 times in a calendar year.



Despite

*The excursion by the school students proved out to be an enjoyable affair **despite** heat wave conditions.*



Despite

Not influenced by something

Getting cold feet

*Governments always talk about reforming the education system, but several state governments have developed **cold feet** on the promised regulation to regulate the fee for admission to primary schools in private institutions.*



Getting cold feet

To suddenly become too frightened to do something you had already planned to do / loss of confidence

Slow flow

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16th March 2017



A **fortuitous** combination of global and local tailwinds has helped shield domestic markets from a sharp correction in recent months. Domestic **mutual funds** have seen sustained inflows, allowing them to buy stocks when FPIs sold.

Fortuitous

*The collapse of the opponents is a **fortuitous** opportunity for the ruling parties in several states in our country.*



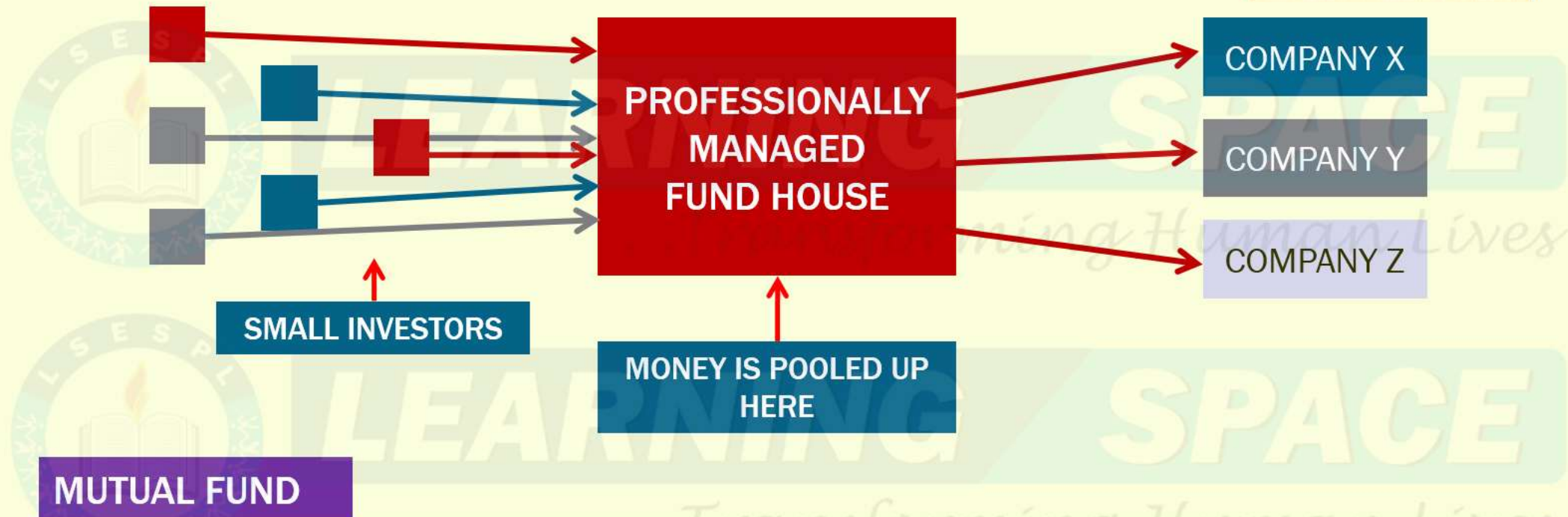
Fortuitous

Happening by chance rather than intention / Happening by a lucky chance



MUTUAL FUNDS

What is meant by Mutual Fund?



MUTUAL FUND

An investment vehicle made up of a pool of funds collected from many investors for investing in Shares, Bonds, Money Market Instruments etc.

LIVE



Mutual Fund



UTI Mutual Fund



Slow flow

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Aggressively

*The **aggressive** behavior of market penetration by Reliance Jio has forced Airtel and Vodafone to go for a massive restructuring and acquisition of smaller telecom companies.*



vodafone



Aggressively

Ready to attack or confront / to behave in a determined and forceful way

CURRENT ACCOUNT DEFICIT

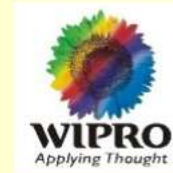
1

TRADE IN PHYSICAL GOODS



2

SERVICES



Infosys

3

PRIMARY INCOME

Coca-Cola



4

SECONDARY INCOME



BALANCE OF PAYMENTS

STATEMENT OF ECONOMIC TRANSACTIONS BETWEEN
THE RESIDENTS OF THE COUNTRY AND THE REST OF
THE WORLD

CURRENT ACCOUNT

CAPITAL ACCOUNT

WE ARE COMFORTABLE WITH BALANCE OF PAYMENTS
POSITION

Surge

*Profits of TCS have
surged in recent
times.*



Surge

A sudden, great / large increase

Slow flow

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Revive

Revival of the textile industry with modernization is the need of the hour.



Revive

To bring back something to life

Gloomy

*IMF predicted **gloomy** outlook for several economies in the European Union.*



Gloomy

Not much hope for the future

Spike

*A **spike** in oil prices is expected if OPEC as well as non-OPEC countries decide to reduce production.*



Spike

A higher price / amount

Slow flow

More importantly, the **anomalous** situation of zero to negative interest rates in many developed economies due to the easy money policies of the past is already reversing. This spells trouble for portfolio flows into India. With the US economy strengthening and the Fed looking to hike rates through 2017, the temptation will be strong for foreign investors to re-allocate money from **volatile** emerging markets back to the US.

Anomalous

*Several advanced economies are creating an **anomalous** situation in their monetary policies such as negative interest rates, abysmally low interest rates, helicopter money, etc.*



BANK OF JAPAN



Anomalous

Deviating from what is standard or inconsistent with the common order

Volatile

*The global outlook is quite uncertain, primarily because of the **volatile** nature of Donald Trump.*



Volatile

Likely to change quite often, suddenly and unexpectedly

Slow flow

The shrinking interest rate differential between India and the US will also do away with the easy *arbitrage* returns they earned through *carry trades*. Record pullouts from Indian bonds in the last few months are a *stark* reminder that this rate differential matters as much, if not more, to portfolio investors, as the 'India story'. While there is little that can be done about this, the Centre must redouble its efforts to keep FDI flows coming; this will hold the key to market and rupee stability in the year ahead.

Arbitrage

- The practice of buying something such as shares, currency or bonds in one market and selling them in another market where you can get a higher price at the same time.



Carry Trade

- This normally refers to the 'Currency Carry Trade'.
- Investors borrow in low-yielding currencies.
- They invest in high yielding currencies.



Stark

*The tragedy, which resulted in the death of 7 persons, serves as a **stark** reminder of the dangers of drunk driving.*



Stark

Strong / Rigid

Return to normal

By pointing to gradual rate increases, the Fed reassures markets and policymakers

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DISCUSSION ON 20th Mar (Monday)

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INDIA'S NATIONAL NEWSPAPER SINCE 1878

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